in the kitchen, and software consists in tools with your computer, mindware consists in the tools for the mind," explains Perkins. "A piece of mindware is anything a person can learn that extends the person's general powers to think critically and creatively."[10]

What mindware would you need to activate System 2 thinking? At a minimum, you would read a company's annual report and the annual reports of competitors. If it appears the company has a strong competitive position with a favorable long-term outlook, you would next run several dividend discount models that include different growth rates of the company's owner earnings over different time periods to get a sense of approximate valuation. Then you would study and understand management's long-term capital allocation strategy. Last, you might call a few friends, colleagues, or financial advisers to see if they have an opinion about your company or, better yet, your company's competitors. Take note: None of this requires a high IQ, but it is more laborious and requires more mental effort and concentration than simply figuring out the company's current price-to-earnings ratio.

Time and Patience

Even though there is ample evidence that long-term thinking, patiently applied, is the best course for investing success, it appears that nothing much has changed. Even the 2008–2009 financial crisis and bear market haven't changed our behavior. These days virtually all market activity is short-term. In 1960, the annualized value-weighted NYSE/AMEX turnover was less than 10 percent. Today, that ratio is greater than 300 percent—a 30-fold increase over the past 50 years.[11] It is hard to believe that this dramatic increase in activity has not had a transformative effect on both the market and its participants.

Theoretically, an increase in market participation coupled with higher trading volumes is thought to lead to better price discovery, which in turn leads to a narrowing of the price-value gap with a corresponding reduction in market noise and volatility. But in reality, we have learned that if the majority of the market participants are speculators, not investors, then we are likely to see the exact opposite: The increase in trading activity will